BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

April 10, 2025

Update Testimony of:

Income Tax Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
UPDATE TESTIMONY OF
INCOME TAX PANEL

I. INTRODUCTION

Q. Would the members of the Income Tax Panel ("Panel") please state their names?

A. Jeffrey Kalata, Nadiya Kapur and Michael Rufino.

Q. Has the Panel previously submitted testimony in this proceeding?

A. Yes. We submitted direct testimony on behalf of Consolidated Edison Company of New York, Inc. (the "Company") in the January 2025 filing.

Q. What is the purpose of the Panel's update ("Update") testimony?

A. Our update testimony addresses:

- Updates related to standalone Company net operating loss carryforwards ("NOLCs") and their impacts to the Company's electric and gas rate filings.
- The impacts of the Corporate Alternative Minimum Tax ("CAMT") regulations on the Company's electric and gas rate filings.

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
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II. UPDATE

Net Operating Loss Carryforwards

Q. Did the Company's January 2025 filing include a deferred tax asset ("DTA") related to the Company's NOLC on a standalone basis?

A. Yes, to a certain extent. At the time the Company finalized the revenue requirement for its January 2025 filing, the Company included its NOLC DTA through its 2023 filed tax return in the electric and gas rate filings.

Q. Has the Company adjusted this item for Update?

A. Yes, in the Update filing, the Company has adjusted the 2023 NOLC DTA on a standalone basis to include an allocation between "protected" and "unprotected" in accordance with the United States Internal Revenue Service ("IRS") normalization rules using a with and without accelerated tax depreciation method. Only the "protected" NOLC DTA is included in the Update filing for rate base. The impact of this update reduces the rate base amount for gas customers and the Company's revenue requirement that was previously filed.

Q. Did the Company's January 2025 filing include estimated NOLC DTA amounts for 2024-2028?

A. No. At the time the Company finalized the revenue requirement for its January 2025 filing, the Company had not completed its five-year forecast for federal taxable income on a standalone basis. The Panel's direct testimony (p. 12) indicated that the Company would include the updated estimated NOLC DTA amounts in the Company's Update filing.

Q. Has the Company included NOLC DTA amounts for 2024-2028 in this Update filing?

A. Yes. The Company has updated its NOLC for the 2024 year-end activity and forecasted NOLC DTA activity for 2025-2028 in this Update filing. The Company's 2024 year-end tax provision calculated federal taxable income, which utilizes a portion of the NOLC balance from 2023 resulting in a lower NOLC DTA carryforward to be included in its ratemaking process. The Company has forecasted protected net operating losses from 2025 to 2028 which have been included in this Update filing.

Corporate Alternative Minimum Tax

Q. Did the Company's January 2025 filing include estimated future CAMT liabilities and estimated CAMT credit carryforward DTA amounts for its electric and gas customers?

A. No. The Company's direct testimony (p. 14) explained that it expected to be an "applicable corporation" subject to CAMT for taxable year 2024. However, the IRS had not yet issued regulations finalizing the rules and calculation of adjustments to the financial statement income that is subject to the 15% CAMT in the Inflation Reduction Act of 2022. As a result, there was uncertainty at the time of the January 2025 filing on whether the IRS would adopt the proposed regulations without change. The Panel's direct testimony indicated that the Company would include an estimate that accounted for CAMT in the Company's Update filing.

Q. Is CAMT included in the Update filing rate case forecasts?

A. Yes, although only partially. The Company was an applicable corporation in 2024 and calculated its 2024 CAMT liability in December 2024 based on its filed year-end financial statements. The Company has included an estimated 2024 CAMT liability and a CAMT credit carryforward DTA in its updated rate case forecast.

As explained in the Company's direct testimony, once the Company is an applicable corporation, it needs to calculate a CAMT liability and a regular tax liability each tax year.

If the CAMT liability is higher than its regular tax liability, the corporation will pay the higher CAMT liability. Because the Company was an applicable corporation in 2024, the Company will continue to be an applicable corporation in 2025 and future years. However, there is uncertainty as to whether the Company's CAMT liability or its regular tax liability will be higher each year. In addition, the IRS has not issued final regulations on calculating the CAMT liability, so there remains uncertainty regarding the estimated amounts. As a result, the Company is not updating for any future CAMT liability or CAMT credit carryforward DTA amounts for tax years 2025-2028 in this Update filing. The Company proposes to reconcile any future CAMT liability and the impacts on its CAMT credit carryforward DTA balances included in rate base. This reconciliation mechanism is further described in the Update Testimony of the Company's Accounting Panel.

Q. Does this conclude your Update testimony?

A. Yes, it does.